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Karthik Reddy
MANAGING PARTNER,
BLUME VENTURES;
CHAIRPERSON, IVCA



“GPs are going to LPs for fresh allocation... in under a year. It is totally unhealthy as investors aren’t able to assess a fund’s investments before recommitting”

Sasha Mirchandani
FOUNDER &
MANAGING PARTNER,
KAE CAPITAL



“I feel in the next fundraise cycle [for VCs]—probably in the second half of the next year—we might see a lot of new, first-time LPs coming into India”

Rohan Paranjpey
MD, HEAD-ALTERNATIVE
INVESTMENTS, WATERFIELD
ADVISORY

committed capital fully.

LPs are also affected by global macros. With a majority of funding coming from global investors, the build-up of dry powder isn’t a secular trend. Global LPs shift allocation based on where they are getting better value and momentum. “This time, they [LPs] will observe the GPs’ behaviour as a directional trend. If they sense that LPs can’t be disciplined in this phase, it will affect their confidence. And when they go back for the next fund, they may or may not participate,” says Reddy of Blume Ventures. Between 2010 and 2022, Blume has raised four funds with total assets under management of over \$600 million.

As global LPs may shift their at-

tention to other markets and asset classes, VCs will work towards ensuring enough dry powder to last well into 2024, so that their funding cycles don’t get impacted. This can make VCs even more cautious. “Dry powder needs to get added on a regular basis. What happens in such a situation is, your exits come down and GPs are unable to return the money to LPs. So, new fundraises get affected, and newer allocations become lesser,” says Samir Sheth, Partner & Head of Deal Advisory Services at consultancy, BDO India.

BULLISH ON INDIA

Like in every cloud, there is a silver lining here, too: investors remain optimistic about India’s ability to

accommodate a lot more capital. Plus, most global investors are bullish on India’s long-term prospects. Blume’s Reddy explains that the massive build-up of dry powder is a result of this confidence. “LPs are not playing for 2023-24 outcomes; they are playing for 2029, 2030 or 2032. You can’t link a long-term belief of 10-12 years to what will happen in the next 12 months,” he says.

The economic fundamentals of India seem to be holding steady compared to many other economies. Indian public markets aren’t that affected, and tech companies, too, seem to be doing well. Also, there could be an inflow of first-time foreign LPs to the Indian private market, driven by China’s